AI STORY ALREADY DIED

Podcast: Market huddle

AI Executive Summary

1. Core Thesis: The current market is undergoing a deceptive structural shift where a bullish trend in the S&P 500 is sustained by extreme concentration in the "Magnificent Seven" (Mag 7) and hyperscaler AI stocks, masking a broad-based deterioration in the underlying 90% of components which are currently in downtrends. The episode argues that the AI sector bubble has already burst (summer 2026), evidenced by technical breakdowns in specific AI ETFs, while macro stressors like bond yield spikes and potential financial accidents threaten to trigger a regime change toward defensive sectors and significant volatility, with earnings misses remaining the primary catalyst for systemic collapse.

2. Key Arguments & Data:

3. **Market Breadth vs. Index Performance:** The S&P 500 remains in trend, but only ~20% of stocks are above their 50-day moving average; realized correlations are at historical lows (UBS data). The Mag 7 carry the index's rally while non-Mag tech and small caps are experiencing bear market declines.
4. **AI Sector Technical Exhaustion:** Specific AI/semiconductor ETFs (DRAM, COBY, SMH) are showing clear breakdown patterns with failed higher highs/lows. This suggests the AI boom peaked in summer 2026, despite Nvidia and Mag 7 stocks maintaining new highs.
5. **Bond Market Dynamics:** Yields peaked Oct 8th followed by a ~25bp drop. Long bonds (TLT) are showing relief, but there is underlying supply pressure. The market expects two rate cuts in the current cycle vs. six priced in; further cuts could be triggered by a "financial accident."
6. **Volatility & Correlation:** VIX is at multi-year lows due to low correlation between assets ("shadow VIX" would imply ~35). High volatility on individual stocks (e.g., Microsoft, SMH) is masked by index stability.
7. **Oil Market Contradictions:** The WTI front-month contract is under heavy short pressure (~31 percentile positioning), while the broader oil

market (Brent, long-term contracts like Apr 2027) is trending to new highs due to Middle East escalation fears and backwardation flattening.
8. **Sector Rotation:** Capital is rotating from AI/Hyperscalers to defensive sectors (Healthcare/Consumer Staples - XLV/XLP). Financials are struggling due to margin compression from credit costs (XLF under pressure).

9. **Financial Accident Risk:** If a major systemic risk event occurs (financial accident), the Fed may aggressively cut rates, potentially leading to a long-end bond rally and yield crash, though supply issues complicate this.

10. Actionable Takeaways:

11. **Audit Concentration Risk:** Review portfolios against individual stock performance, not just index data. Be aware that holding broad index funds may provide false security if the market is dominated by overvalued tech stocks.
12. **Buy Volatility Protection:** With VIX near historical lows and high individual asset vol, consider purchasing cheap tail insurance/straddles on low-volatility names like Google. Do not rely solely on option pricing; buy volatility early to manage potential regime changes.
13. **Monitor CTA Signals:** Watch for the 50-day moving average crosses in the Russell 2000 and Nasdaq Large Cap indices to gauge trend-following fund activity, which could signal a market sell-off before broad equity declines begin.
14. **Evaluate Bond Strategy:** Be cautious chasing short-term bond yields due to supply issues. If a financial accident occurs, consider owning long-duration bonds (front-end levered) but be wary of central banks raising rates in response to oil shock spikes.
15. **Watch Credit Spreads:** Avoid private equity credit instruments (e.g., BDCs) and bank sectors that may suffer from deteriorating credit margins due to interest rate volatility.
16. **Prepare for Earnings Miss:** Given that highest growth rates are already priced into AI stocks, position for potential earnings failures as the primary trigger for a broader market downturn.

Full Transcript

Hit it. It's Friday, October 16th, 2026, episode 303 on Patrick's Resna. And I'm Kevin Muir. This week, it's a no interview show, so it's me and Patrick. Dig in, kick back, and let's hear what the charts are telling our resident technical analyst. Well, listen, we're going to get to the charts here, but get us a disclaimer here, Kev.

Nothing in this podcast should be viewed as investment advice. Listeners should consult an investment professional before making any decisions regarding topics mentioned in the show. Side effects of too much huddle may include the core weave contagion syndrome, the AI debt hangover disorder, or the cost be free fall fatigue. Oh, that's all three things that I'm suffering from in that. All right. Let's get to the charts. Lots of talk about interesting times right now. What do we got? All right. Well, you know, listen, Kev, this is I want it's been like I want a month or more. Actually, it's been almost six weeks since me and you actually did a session together. We've both been traveling, having a great time while the market started things. We really should have just a deep conversation about how shit is developing because the macro story has has really dynamically changed in two months.

Right? And we really need to dig a little bit deeper into everything. I don't even know where to begin. I mean, do we start with talking about interest rates in the Fed and what's happened? Well, Patrick Marguerite, new stir trader. I have all the time you love talking about stir. The other thing is, was like the AI story has to be like, so like, which one do you think we start with? They're intertwined to a certain extent as well. So you just pick Patrick. All right. Let's let's let's start off with a because this is very raw and real right now. And the bond market thing is very relevant, but it's been sort of happening for the last month and everyone sort of already understands a good chunk of it. So we can save it for a little later. So let's let's start off here with just looking at the chart on the S&P 500 and and we can see that it's staying above the 50-day moving average, staying in a bold trend, and this may be the single most deceptive chart that exists out there because it does not in any way reflect what is actually happening in the markets.

And this dispersion kind of like where the correlations of the indices to the underlying components, we haven't seen something like this since 1999. Well, I think it's even worse than that. I saw UBS recently had something where they said the realized correlation of the S&P 500 is the lowest it's ever been, in essence, in modern history. I could believe that. So the actual realized correlation is off the charts. And in Patrick, I think we spoke about this before. I remember you talking about the generals and how, you know, if we were to get it for the market to go up, we needed the generals to go up as well. The reality is that since we had those discussions, the generals have exploded to the upside and everything else has gone no bit. Well, yes. And that actually was the story.

up until this week. Right. And so what I want to start off with is just looking at the breadth of the market because any hit its low on the 1st of October, where we were a 20% of stocks above their 50 day moving averages. In other words, only one out of five stocks were maintaining bull trend. head of its 50-day moving average. That means four out of five stocks were in some form of a downtrend or pullback or correction or full-on bear market decline or whatever it's happening. And that was obviously driven by the bond market. And I want to dig deeper into the bond market. But when interest rates were skyrocketing, it caused the hurdle rate to rise.

and anything that is yield sensitive valuations anything else had to be repriced it was like a 2002 2022 kind of fair market event where basically interest rates are going up and it's subsequently all assets have to be repriced down and this meant that the vast majority of the market was responding negatively but it was disguised by the fact that like you were saying the mag sevens are such a huge component of the index that so long as they could maintain bull trend, then the S&P itself is not reflecting what is actually happening under the hood when you dig a little bit deeper. And the sectors were all getting hammered, but that changed in the last two weeks. And particularly the most evident thing was in the last few days and and when we saw yield starting to come off from their highs and now here I'll just show like the 30 year literally peaked on October 8th and and when we saw this you know 25 30 basis point pullback in yields on the 30 and the 10 we basically saw the breath at the market start to increase as we actually saw some sort of a rotation. And, and that's actually the key thing that we

want me to talk about with what's going on in AI, because what what it was was all of this money was chasing semiconductors was chasing all these different things. And that money suddenly went defensive. And, and it all happened along this core weave news. So let's Um, let's briefly just pivot to talking about core weave because, uh, I think this is important. Did you want to first, uh, well, no, I, I, I'm not sure it was actually the core weave because to me was also earlier. Wasn't it open AI or the talked about 70, 50 billion instead of 70. That was really the start of this. Um, okay. Yeah. So yeah, the core weave, the core weave.

exacerbated the problem and made it much worse. But I think that you might push back and say that that was the actual start of the correction was the change in the guidance. in terms of the revenue for, is it revenue from OpenAI? Absolutely. They had to reprice basically from being, they're targeting a 2 trillion cap to 1.5 trillion. And basically, yeah, the whole repricing of that is just showing the kind of conditions that we're here, we're in the market here. But generally, before we get to that, I just want to highlight what occurred. from, and I used some charts in my post that was from the moment, uh, Fed Worsh did a federal, uh, FOMC chairman Worsh did his speech at Jackson Hole at the late October or late August up until these previous two weeks ago. If you looked at that, we had a situation where I think that the, the mag seven was up seven, eight percent. The NASDAQ was up five.

The S&P was up one and a half or two. The S&P equal way Patrick was down three. The small caps were down six. So the difference between the NASDAQ or the Mag7 and the small caps was absolutely huge. And to your point, you talked about how these things had to get reprised. I think it was almost a mad scramble into into AI as a safety play. It was the situation where they realized the economy was going to be increasingly choked off by higher rates. And in that situation, what do you do? You buy the only thing that's growing that's not as acceptable to interest rate hikes as the rest of the economy. So everyone rushed into these AI stocks, but interestingly enough, and this is back to your point about the core wave, As that occurred, we also got a situation where credit spreads started to widen. And now all of a sudden, even the increasing costs for the neoclouds is starting to put the whole thing into jeopardy. So it really felt like this just mad

scramble into the generals as this last hurrah. And I, Patrick, really bearish and I think that this is a start of something much more ominous, but we can talk about that and we'll talk about this balance that's occurred in the other stocks and this decline in the open, in the AI stocks over the last week, which is what you wanted to focus on here. Well, I think the one point I just was trying to get to was there was a very clear sector rotation This week into defensives health care consumer staples and a little bit of utilities all of those prototypical Kind of defensive sectors like look at XLP the way it ripped on the upside Look at the way XLV ripped to 52 week highs on the health care. So you have consumer staples and Health care suddenly taking flow. So what what we've The witness here is now money moving out of the AI space, but it did not touch the mag seven yet. And this is the crazy part because I wanted to just do a tour of how brutal things are in the AI space. And so what I wanted to do is focus on ETFs that are more specific. So here is your, um, a data center and digital infrastructure ETF. Now that's a symbol for that, Patrick.

It's DT CR. Okay. Okay. And and so what you can observe here is that it literally peaked at the same time as the Cosby and this is this is the thing I actually believe that this already turned back in the summer when the Cosby peaked I think the Cosby was really kind of like the epicenter of the most crazy part of the bubble. And actually, let me just show you the Cospy chart because I think the Cospy chart tells a lot in terms of what was happening here. Where do I have it here? But we basically saw that June peak in the blow off. It literally is mirroring the NASDAQ in 2000. Which is that after a peak none of a listen after a peaked it had a 44% crash it was it was nasty like when you have a 44% crash that's Immediately breaking the entire bull market and like you can't sustain something that and then it proceeds to have a multi-month bounce from trough to peak that was a 36% bounce the Nasdaq back in 2000, after the first low had about a 40% rally over several months after the first wave down. And now the cost be rolled over and broke down. And so like it really is an example of what actually, I would argue that the AI bubble burst actually back in the summer, and we are actually only setting up here for another leg.

And the interesting part is that that's not evident because of the index and because of the mag seven. But when we're focusing solely on the AI stocks,

not the hyperscalers, this is becoming more and more evident. And so back to this, you can see the data center and digital infrastructure stocks sequentially a lower high failed at the 50 day. then proceed back in August, proceeded to once again try to break to a higher high in September, reclaim the 50 day fails, breaks back down, tries to rally again the last week. fails at the 50 day breaks to lower lows, that entire consolidation and support line now completely broken. Now let's move on. This is the artificial intelligence super cycle ETF. It looks exactly like the cost be without the same downside volatility on the first leg. But it's like the big drop, failed system on that though, Patrick, this is the AIS the artificial intelligence cycle.

Yeah, ETF and you can see failed now has broken all of its August and September lows Complete breakdown then take DRAM, which was the ETF that was released back earlier in the year it peaked at the same time as the cost be breakdown Entire flagging formation rallying to on the upside all failing at Fibonacci zones complete rollover and breakdown, you then take the AI PO, which is the AI power and infrastructure ETF, right, peaked in June, failed rallies, failed higher highs, now broken to fresh new lows. Like the thing is, is that the AI story actually already died. The thing is, the hyperscalers have not apples making 52 week highs. Nvidia just recently made 52 week highs. It's disguising what is actually happening in the broader basket of the stocks. And the last one I'm just going to think before I let you kind of comment on this. This is the SMH which is the semiconductor ETF disguised a little bit disguised a little bit by the fact that Nvidia ripped to fresh new highs. But this failed to retest its high even as a double top. And this now has done what I call in technical analysis, a V formation, which is it basically wiped out its entire previous rally attempt in its entirety, which is, which is basically evidence that that rally was a false start.

And we're at a huge support line where if these semiconductors give out this 540 level, that's like full-on bear market signals on breakdowns. And you know what is not at all? The MAG 70TF. The MAG 70TF is in a stunning bull market, higher highs, higher lows, running higher, and these mega cap hyperscalers are basically carrying that S&P index and everyone just, you guys are idiots for being bearish. Look at the S&P at its highs and making

fun of things like somehow the index being up there because of these seven stocks is somehow masking that the fact that we are in complete carnage in the markets. Like yeah, anyway, you can give me some feedback. I I listen I I love it and I'm with you I think that the damage done is amazing and I'm just perplexed, you know Fuddled like at the at the rush into the mag seven stocks. I I'm would have never called this in a million years It just goes to show you how a tough trading is because that almost everything is rolling over. And then somehow now all of a sudden everyone's getting religion and buying, you know, the bank seven, these were stocks that were hated and were sources of funds for the longest time. And now everyone's rushing into them. To me, it really feels like the last gasp, right? Like it's just, it gets narrower and narrower and narrower and narrower. And it's just kind of that one final push into these stocks. And it is in the best part is the best part.

The the crazy part about it is that it is in The pain trait because what happens is everyone's like well look the markets in trend I got to stay invested But then I'm wondering why the hell is my portfolio down 15% when the S&P is holding up right what happens is is that the S&P is giving them a false message and a false sense of safety that everything is fine When, in fact, the majority of their investments are bleeding out and they don't have a signal saying, well, something is wrong because everyone goes on CNBC and says, no, I'm down doing this. S&P is doing this. Everything is fine. NASDAQ just made a new high. You know, like it's like no one needs to worry.

Right. And Patrick, to your point, like, yes, if you own spools like SBYs or some sort of index product, you are achieving those returns. But the reality is that most people that are, you know, picking stocks and having portfolios that are non index, right? Because the reality it's difficult to have 40% of your of your end portfolio in the top Seven names or whatever they are the top ten names and almost everyone will be underweight The tech portion because they can't afford to have that or if they're not underweight the tech portion there They're in other names that are non mag 7 because of concentration risk and there those stocks are getting crushed as you highlighted earlier So let's just quickly go through the mag sevens. Let's just go through the seven stocks just to kind of see the individual stories and The one in the most explicit bull trend is Apple now first of all Apple's not

an AI story They probably they were the lead they were not even labeled a hyperscaler because they simply never did the type of of build out the way the the other mags did But this thing is in a very clear bull trend higher highs there is no sign of cracking. It might eventually crack, but it's no sign of it right now. And there's measured moves up to 36370 on the upside, and Apple might actually do it. Right? Like so, I don't even want to say anything bearish about this because there's nothing bearish on the chart yet. Only thing I would say is it feels very seventh eighth inning of the advance, which is it's not like just because it's in a beautiful bull trend doesn't mean there's asymmetry in rushing to buy it because like it as far as I'm concerned you know trying to clip an extra 10 to 20 bucks on the upside versus inevitably when it turns is going to correct it's not a great asymmetry in the payoff but the bull trend is very pronounced in this, right? And now another one that kind of was far messier was Amazon. And it attempted to break out this last week and gave it all back in this whole correction. It's really in the consumer discretionary basket, like so Tesla and Amazon make up 40% of the waiting.

in the XLY, right? So the XLY being the consumer discretionary ETF is weighted there. So when the consumer discretionary sold, there's clearly Amazon got caught in some of the distribution there, but it never caused the stock to get badly hurt. It basically wasn't a contributor to the downside, but it's not the one that's working on the upside. Now take Microsoft. Now here is another one that's being full bold. What was crazy is that Microsoft was the epicenter of that software versus a semiconductor pairs trade back in 2000 at the start of the year. And it got murdered to the downside. What was the peak to trough? Microsoft got murdered 36% one third of its value shaved off and has been in a huge bull market like AI is not going to hurt it anymore.

It's amazing how that pair trade just completely reversed. But like Microsoft has its previous highs now as overhead resistance. Now, it doesn't mean it can't beat it. But, you know, like this thing has been the rock star in this in this move. The other one Meta, which obviously had the really strong, what was it, Muse? Yeah, it ordered a watermelon to Mark Zuckerberg's house. So you had to add 100 billion a market cap. Yeah. Like literally it ordered a watermelon, Muse ordered a watermelon to his house. And then the next

two days, the thing added 100 billion. That's the kind of market we're in. Exactly. And so this thing goes ripping, again though, back to its previous highs. Now this often can act as overhead resistance. It doesn't mean right now these are still pronounced bull trends and I don't want to say something bearish about something that hasn't yet demonstrated bearish price action.

I would argue again that similar to Apple where maybe the asymmetry isn't attractive where the upside is probably limited and there's going to be some downside risk when it turns and it's probably not a great new entry point but it could still arguably go higher. Now what is interesting is just in the last few days, it did give back a breakout attempt and you never want to ignore when there's a flagging formation that gives a bull signal that would typically have technical traders rushing in for the continuation pattern and then wipe out and stop them all out. When you see a false start that way, then at least it's a sign that meta might be heavy because clearly some big money leaned into the breakout to distribute the stock. It's almost like somebody didn't believe that ordering a watermelon to the house wasn't a big deal. Almost. Almost like that. But you can see that these four stocks, well at least three of the four are very explicitly in bold trend. Now Google obviously has been issuing ridiculous amounts uh, uh, or raising ridiculous amounts of capital, whether debt markets or, or stock issuance and all these different things. Um, which is more or less, uh, had the stock stock. Uh, it has not participated. In fact, I'm shocked by how trade range bound this name has been over the course of four months. Well, they might have, I'm not mistaken. Like they did the big issuance, but they also have an at the market issuance as well.

So I'm wondering if at any rally, if they're issuing stock, I don't know that for sure, but it was surprised me at all. And then you have to ask yourself, if they're selling stock, why are you buying it? Yup. I mean, isn't it convenient as well? Like just to kind of throw that curveball in there. Like, when was it exactly the SK hynix came into the US markets with the ADR to raise the money? Yeah. By the way, that was still trading that ADR is still trading at a premium to the underlying SK hynix in the into Korea. I'm shocked at it. Like it's but but the point is they literally did it at the market up. Yeah. Like like when the ducks back feet. Yeah. When the ducks clock feed them, baby. That's that's the famous one. But the point here.

is that Google isn't, though, contributing to the downside, at least not yet. Now, this is, from a technical analysis perspective, one spectacular horizontal triangle pattern, which is basically it's winding up for a move and it's coiling up, building up energy. Now, I don't, obviously, if the whole stock market breaks, it's very likely Google is going to go the direction of the whole market. So this is going to be direct because of its market capitalization is going to be directional map. But I do think that that this very tight range is going to result in meaningful directional volatility when it finally breaks out. And I actually think with the very low implied volatilities that Google generally done that it does have. I actually think it this is probably one of the more interesting straddle candidates. Like literally, but even then you can even ratio it with a bias to the downside if you're bearish. But but I think that the very low volatility in the tight range, there's lots of room that when this ultimately breaks, there's going to be a move of at least 100 to maybe even 150 directionally when this thing finally goes. And I think it's a great idea to kind of put it on that way. Obviously straddles don't carry very cheap. But, but, uh, and who knows how, whether it's going to grind past the elections and whether it's, you know, you're a one month too early on, on the idea, but it is an interesting coiling chart. Now I want to move on with any comment on that. No, no, let's keep going. Uh, so NVIDIA. Now NVIDIA did a break to 52-week highs. Was that a prairie dog? Oh, yeah. Noble animal. It's a noble. Like, who would have believed that a prairie dog would appear on NVIDIA? But, but, uh, and nonetheless, uh, you know, The targets were up to 250, so in many ways it fulfilled its upper targets. But again, the part here is that it did the V shape, which is essentially the sell-off completely wiped out its entire last rally attempt, which means that there's some very motivated sellers coming in.

Because normally, buy on dip traders are more than capable of preventing that from happening in a good bullish orderly market. And so it's the first kind of negative thing that's happened to the stock. But the fact that the whole SMH semiconductor ETF is rolled, I would be that much more concerned considering that Nvidia is obviously the largest waiting in that basket. um, uh, in, in that ETF. And so the question is, is that Nvidia see its top already? Uh, that's a, that's, uh, be creative. It was a prairie dog top. You know what? The noble animal of the struck animal, they're shifty little

buggers. You got to be careful. All right. But in the last one, uh, is Tesla, just touch on, and, uh, and the interesting part.

is that obviously there was this big product thing that they're flying car or whatever. It was pretty cool. Actually, did you see the flying car? Is it coming in two years? Yeah, it's 2028. It is. It's two years. But it was cool. Right after after full FSSD, they put they put SpaceX rockets on a roadster and so that they flip the car and the car just like. completely flips over and straightens out and lands. I'm going to send some money. I'm going to put myself in line for that. I'm going to buy one. Yeah. Anyway, but what I wanted to highlight though, from a technical perspective, the entire rally has been just a Fibonacci retrace. And even such positive news has not been able to actually create bullish follow through. This is actually the only mag seven that is explicitly bearish. You know what the funny Patrick?

Nobody wants to short it because they're all convinced that Elon's gonna buy it and tuck it into SpaceX. Nobody is shorted. Nobody. And there's people out there buying it because, you know, he's because of robotics or whatever. I just think it's interesting that at the time when you're highlighting how it's trading like shit, like technically the reality is that the narrative is completely changed and nobody is short anymore. There you go. So nonetheless, it is it's only what but there's only one out of seven stocks that and even then Point is Tesla is not contributing to the downside here. Yeah, we're last two months It's been recovering and holding point is is that the seven largest market cap names that are the behemoths in the industry And then throw in on top of that for instance, you know the big mega caps like Lily you know, breaking up along 52 week highs. The point is that even beyond the seven stocks, there's a couple of these big hitters that are actually still holding it all together. Anyway, the point is that if you own these stocks, you're like, no, nothing is wrong. But if you own any stock that's not one of these.

You've you're like, I think that was Goldman that came out a week or two ago that said the median stock in the S&P 500 is 16% off of its 52 week highs. Yeah. It's ugly out there, man. Like just the RSP and look at that chart. It's terrible looking. Yeah. Well, there we go. No, that's and but the equal weight has bounced it recently, but recently. Yes. But that's as the AI

trade has come off. We've gotten a bit in those. What is interesting is obviously healthcare and consumer staples ripped, which caused the equal way to bump. But look at the small cap. Yeah, it's terrible. The small cap couldn't react. All right. So now let's have this conversation. I want to go to the, uh, the caught reports at caught signal.com. Check it out, everybody. It's by the way, it's a free resource. Go to caught signal.com.

It is free. And that's why I have no shame in it. There's nothing to sell there. It's a listen. Just go out there and use it. The point is on the heat map. Look, I want you to observe one thing. What is the Nasdaq large spec score at the end of Friday? You know, and I got old eyes, buddy. 100 percentile. Yeah. And what is the Russell? Zero. Zero nice. This is one of the most that is that is a macro tourist dream there, baby Actually, and it's funny you say that Patrick because over the last three days I've been chat in my chat talking about how I am actually long small short cues or the short NDX Yeah, there you go as a pear tree But look at this. Yeah on the Nasdaq as a Friday before this big reversal on the downside whether you do on a one-year It's at the 100th percentile in the one year, three year look back, 100th percentile, five year look back, 100th percentile. Basically, right at the top here, the large specs went all in to five year extremes. Last cast, baby. I'm convinced of it. And at the same time, you go and look at the Russell, it's only on a one year.

look back that it hit zero percentile. But look at this red line at the bottom, the gross shorts. And we let's spend this five, even 10 years. You we have now seen the gross shorts in the Russell 2000 reach pretty much a 10 year extreme. Yeah, crazy positioning. And great stuff. Check the charts out for yourselves everybody. No, no, it's pretty but it's no it's pretty interesting that that but obviously large specs encompass CTAs and the trend Definitely turned so every CTA flipped short. This is a this is a clear given now This year is is what's happening on that front the interesting part is the S&P is is already showing a negative positioning, but you know what the S&P has not yet hit CTA.

Cell triggers. I don't know if you had a recent update, but the last time I I heard one source give me that was somewhere near 7600 was the recent update and I but I heard another source that was saying that the CTA cell

triggers are somewhere in closer to like 7700 It was originally 3% off the market high. I think that anybody that actually believes that they can you know Pinpoint it to that degree of accuracy or dreaming Yeah, you could you're more likely to be able to Pinpoint the vol sell triggers the volatility control funds fair because those are based upon indexes But the reality is that CTAs it's it's based upon individuals running money in a trend following system and those trend following systems are adapting and changing and and and they're all over the map so but I but I will say this One of the best arbiters of trend It's just clean and it's not necessarily a great market timing to it's more of an arbiter of trend just in terms of identifying.

Oh, the 50 day moving average does a phenomenal job. When the markets are in a downtrend, they simply remain decisively below. And when they're an uptrend, they stay decisively above. And it is usually a very easy thing to recognize that if we are sustaining below the 50 day on any prolonged period, not just a little, you know, a turtle head formation dropping below a 50 day on the downside, you have a, you basically know that CTAs are going to start selling. Yeah, I'm with you there. That's how much I like that a lot better than those that are trying to pick like specific points where they believe it'll flip. I just, I just haven't seen it.

Work to that extent and maybe unless yeah the systematic traders I feel are actually the Will be the fuel that turns the mag 7 in other words if this S&P is dragged down to a level where Systematic selling starts hitting the bid then the index selling is will trigger the downturn in the hyperscalers of mag sevens, which will signal cell signals on those charts. And it might become a self manifesting kind of turn point that actually puts it all together. That's a speculation. Yeah, I don't. And you know, I just don't think that the systematic sellers will be anything, but they'll be coincidental in my view, as opposed to the trigger. And there could be a million different things. I happen to think earnings will be really what causes it. I think that if you're gonna try to say what ends the AI bull market, if you believe that it's gonna end, because some of us, not us, but some people believe that it's going on forever and that you gotta close your eyes and buy it. But if you are in the AI, it's a bubble camp and that we're gonna have an accident here. I'm still going with it's gonna be an earnings miss.

that will be the irrefutable evidence that causes that. And the CTAs, the fact that they're long because the trend has been upward will only make it worse. Same with the vol control. Same with like I wrote recently about this tax-aware long short fund. I think that that's causing some really strange things happening in the correlation market. And all of these things will add up. And it just, to me, to pick one to say it will be systematic as opposed to vault control or as opposed to these guys. I think that's wrong. I think that ultimately it's gonna be fundamentals and it'll be a missing of the earnings. That's what I'm going with. And by the way, Patrick, we haven't discussed this, but we're entering earning scenes in here. And the reality is that the highest growth rate in earnings in recent history is priced into this market.

So yes, you can say earnings are going to the moon, but as in almost things in trading, it's a question of what's priced in there. And I think that that's one aspect that is just being continually underestimated is how much of this good news is already in the market. And that's where I really come down to. I'm like, I don't want to sit here and when people ask me, AI is it going to be as revolutionary as you think? And I'm like, I don't even care because the reality is that it's not going to be as, as profitable as the market thinks. And that's ultimately what we're trading. We're not trading, you know, all what AI's impact on society will be. We're trading what it's going to be, how much companies are going to make an evaluate. Yeah. And to me, that is much more important. All right. Listen.

I want to nail a couple of quick sector things and just actually go through some of these. So the first one I want to touch on is the XLF, which is the financials ETF. And a little bit of a comeback here on the very short term in terms of bouncing in the last week or two, but it was certainly one of the sectors that was it was getting hammered. But what is particularly interesting is that when we take a look at some of the big boys like JP Morgan had its earnings and it was generally a net miss. Now it was a miss in the stock. Well, it's showing here. It's surprised it was negative on the, uh, I didn't realize it because I saw the stock reacted very positively. Well, no, well it reacted positively and by the end of the day it was down, right? Uh, then look at city and city on its earnings basically, uh, uh, tried to rally above the 50 day and immediately slammed to the downside and then came

Bank of America and completely gap to the downside with a huge miss. And so the bank stocks.

actually are starting to get genuinely hammered. And the interesting part here is the XLF is actually bounced because of some of the other components in it, like Berkshire and other things. The question here, is this a short, like is is fading the rally here in the XLF ETF an opportunity to keep playing the financials of downside because higher interest rates essentially screw with their credit business right like in the end they own their highly leveraged credit machines and you raise the cost of credit you're basically screwing with their business it's very hard for banks generally it's not a let's call it a headwind versus a tailwind. Don't you think there's better shorts out there though than that? No I'm just I literally just looking at the chart.

purely on charts. Okay, maybe on the charts. I think there's better shorts out there than that. I'm probably more inclined, you know, to give them the benefit of the doubt and say that money might go into their sectors. Okay. And so consumer staples, they were the one of the epicenters of the selling when the bond markets were getting their faces ripped off. And what a spectacular turnaround in some sort of sector rotation. And I don't know whether this AI thing basically changed the macro regime from like the high growth, high inflation to suddenly everyone has to reprise growth and that the regime has to obviously, because in a period of slowing growth and high inflation, defensive stocks tend to be the place that typically flows come in. Was this inflection point and breakout because some big asset managers basically think that the growth cycle is slowing and they're doing a huge portfolio rebalancing? Like, is this a huge sector rotation? What's your thought? I think that the, the non mag seven sectors are tiny compared to the mag sevens. And so the moment you get mag seven selling, it has to go into the rest of the market. And what you find is the rest of the market is like, you know, very few people through a door and it just, it ends up being pushing those way higher. And so when I look at that, although I might say, sure, over the short run, that is one of these things that most likely will go back and probably be back to this moving average.

If I'm worried about a financial accident, I think one of the surprises in a financial accident will be how we get some weird occurrences and we see things going up that in essence have known from a fundamental point of view will be difficult to explain. and we'll be sitting there going, wait, why is Staples going bid that much? And people will try to argue that the market is telling them XYZ because of this. This is the market's views and I think it's going to be flows. And one of the things I have a buddy that's been around for a long time and I remember him telling me that he was big money manager and big hedge fund guy. And I think he said something like he was up.

30% in in 2000 30 or 40% and he said I didn't have a single short and The reality was that we had all these stocks screaming that had been left for dead that that rallied and so one of the things that I would just like to just remind folks about is there's a lot of shorts out there in terms of things that have been funding this a mag 7 trade and an unwind crazy things might happen. So I'm open to the idea that although these like consumer staples look expensive in terms of the rally of the last week or whatever, in a true accident, they might do some really absurd things. So let me just go through a highlight three or four of the names. Okay, so let's start with Coca-Cola.

fresh 52 week high out of a flagging formation. You know, that's interesting. But actually, this has been a great time for Berkshire. You know, Apple's been ripping, Coke's been ripping, like a lot of those kind of core names. that are their holdings have actually just generally been doing very well. So, but another one that just made a big reversal after its earnings back in September has been a big turnaround in Costco. Walmart made a spectacular one week rip to the upside breaking, but it's been a basically a four month downtrend. Right. Like so you like look at the way Procter and Gamble suddenly was it was dead for like basically six months and suddenly It took flows, right? So there are some super interesting names in like the consumer staples that, you know, like, and it's funny because I remember we talked about it like six weeks ago that Isman was on CNBC and he was a little bit bearish. They ask him, you know, well, what are you buying? Are you going to buy like some of these defensive names? He goes, there's no way I'm going to buy any of these defensive names. Like, so he's bearish the stuff, but he He wouldn't touch them because he was

dead money. And it's funny that they've come alive. Anyway, I'm not going to say anything else on that. But the other one I want to just show is XLV, which is the health care. And this continues to be taking huge flows. But I wanted to ask you something specific here. And typically, we have seen health care stocks be politicized during elections.

And during elections, they end up being the centerpiece of, you know, vote me in. We're going to lower your medical costs and stuff like this. I was a little bit worried about these healthcare stocks as we are approaching the election as to whether that was the case. And I don't know if you're hearing anything, but there is literally no sign that anyone gives a shit about these healthcare stocks being centerpiece on the election. But isn't it usually the actual election as opposed to midterms? So I agree with your analysis and usually don't they sell off into elections? But when you are swinging, when you're swinging, though, from Republican to Democrat, at least the odds are that this is going to be a Democratic sweep, at least from what some of the stats are saying there. Usually Democrats tend to be the ones that focus on these topics. I know, but Patrick, there's still the president's going to be there to veto stuff. So I don't think that the health care is worried about that.

So I think you should put that aside. Anyway, yeah. Anyway, beautiful breakout. Beautiful breakout. A lot of them are working in that. And so it's not everything bearish. There's actually places you can find bull trends that are very clean and they are working and taking flow when other areas are distributing. All right. So was there anything else in the markets we need to cover because I want to move on to the commodities and stuff like this. No, are you, are you not going to do bonds and stuff? Oh, sorry. No, no, let's talk bonds. Okay. Let's, let's talk bonds, uh, because you know, me and you, we take a couple months off from doing a session together. And during that time was, uh, an extraordinary, uh, bond right on the downside yields go screaming higher.

Kevin, the infamous bond bear. I was wanting to pick your brain on this in terms of how you think this was all playing out. And what do you think were the drivers? But I actually felt that the next inflection point was going to be actually in the pocket. Like we have a very high event risk window where we have an FOMC. the belly of the earnings distribution and an

election all within a week of each other, basically. And so I was thinking that the bond yields were probably going to be under stress until some sort of a catalyst emerge. And that's what the kind of window I felt that was the greatest chance that there was going to be some sort of a catalyst. But yet, very clearly, we saw our money very The flow back into the long bond here in the last week. Do you think it's over? Oh, that's a great question. And I didn't think it was over. And I'm actually becoming more concerned that it might be over and that the top in yields, the bottom in bonds might be in.

I've been of the what would the catalyst have been named like when people look back and say if that was the case like what was the inflection point that caused that was it just such extreme selling that it was just so one of the things that I that I believe in is that I have one of my buddies efficient market hype he's a great guy on Twitter and he says and I have kind of adopted this is my mantra he says bonds breaking will break equities Until equities breaking saves bonds meaning that you know as rates go higher Eventually, we're gonna get to a point where rates going higher Will slow the economy slow, you know be a competition for stocks stocks will go down and therefore You know the economy will slow and bonds will go up and that was kind of where I was at I think it was exacerbated by the fact that we had this cheapest to deliver switch. And so I had been writing about it. I see recently that Harley has also written about it. But into that move higher, we had this situation where the futures contract is on the long bond. It actually switched in terms of which was the cheapest to deliver. So ironically, what occurred was as rates went up and I yield down in price, the asset managers who were long these bonds or bond futures, they were getting longer. They were in essence short gamma. And I think that that made it worse. So the real question was, you know, was that move made all the worse by this monster short gamma position in the CT in the cheapest to deliver? And I think that in hindsight, it would probably was a bigger factor than I thought. So When you ask me what, what, why might I be bullish or getting more bullish bonds? It really comes down to the action of the last few days. And Patrick, what I've saw was we had the initial bad CPI report and bonds gap down, right? On the, what was it? The Wednesday and bonds gap. They were really ugly looking. But then as the day progressed, what occurred bonds rallied stocks went down.

And to me, it's increasingly looking like that relationship of bonds attracting flows as people sell equities is reasserting itself. Like in the old days, you used to go buy bonds to protect yourself from the stocks going down. And in the last, you know, ever since COVID, I would argue that we've had a situation where it's the opposite, bonds going down as drag stocks down. But now that relationship the old relationship might be returning and then you adding the fact that the Economist had their cover and you know the condoms are famous for having covers that are at the worst possible moment and it was a The magazine cover factor. It was funny by the way I want to I want to add to this magazine cover thing I was I was in Argentina doing my mastermind with my inner circle and we pulled up the magazine cover and Uh, we basically said, okay, that's clear or let this, this could have be a turning point. I said, how about we go in there and sell some puts on, on treasury bonds? Nice. And I said, no, no, I said, I said, how many of you, uh, uh, put up your hands. How many of you want to do this?

Crickets, not a single person. I hope you doubled your position, buddy. Literally, and I joked with them and I said, you realize the fact that none of you want to do this, you know that bonds are going to rip. And then literally they started to rip right afterwards. For sure. It was hilarious. My worry was that a lot of the smart guys around me had been trying to buy bonds for the last kind of month, I think they've been trying to pick the bottom. So I was hesitant because I'd kind of seen them getting beaten up and I thought to myself, I really was looking for that just point of maximum despair. Like the Walter Deemer, when the time comes to buy, no one will, you won't want to. Well, I guess the reality is you have to, you know, your, your mastermind guys didn't want to. And maybe that was the sign. But anyways, going back to the bond market sentiment, it just showed how people felt about that. I was worried because too many of my smart buddies were buying it, but they obviously were smarter than I thought. And in hindsight, I am getting worried, Patrick, that I might have missed it. And I'm still hanging tough. I'm not going and chasing the bond market here. Cause ultimately I, I think we still have.

a problem with supply and I'm not convinced that all the... I have a better question for you. We have a supply issue but I have a second question. What do you think happens with rates under the chance that the situation in

the Middle East actually escalates and oil genuinely gets disrupted where there's no inventories forcing genuine demand destruction having to happen through higher prices. Let's just say oil goes to 200 because of some extreme circumstance. How do rates respond? Can we call a bottom under that kind of situation? So I think that would be the death knell for the global economy. And therefore, although over the short short run, you might have the front end, you know, rocketing higher and yield. The long end might look at that and say, oh my God, this is the end of the economy and they start buying the long end. So I think the curve inverts and it actually is the point where you start to figure out what, where you want to play, how you want to play it.

And that would be the most difficult to stick handle. And I agree with you, Patrick, like that would be a lot tougher, right? But do you think that it could still have the first response on a huge breakout would be down? Or you think that the first, like, because I would imagine, okay, if it's going to 150, 200 a barrel, then it's like, oh my God, it's going to kill the economy. But oil here going back to 100, 101, 102 may not have that conclusion made and higher oil, it means higher inflation expectations, could there still be another leg down in the long bond, maybe a double bottom, it doesn't have to necessarily go to lower lows, but is the first response actually bonds weakening? I think the first response is bonds weakening with oil going up for sure.

And then the question is, how quickly does the market start to anticipate the rolling over the economy? And then it's going to be made even more difficult, Patrick, because the response of central banks to that will also dictate how it behaves. So if we get central banks throughout the world going, we are not going to chase this higher, we're going to let it go, then you could see the bond market getting into even more trouble at the long end. So it's not I keep I don't think you can say this is gonna happen And for sure you should do this because you need to then see the response of the central banks and also the government officials Right, but if we get if we got a classic response where the central banks followed rates higher Then I think that that would be the end of the global economy in terms of this or this expansion it would usher in a recession and therefore the long end would be, people would be willing to buy the long end. Having said that, if

everyone pushes back against it and says, no, no, no, no, no, we're not going to raise rates. We're not going to chase this or whatever. The long end might get really spooked.

So it's not as easy as people make it out to be and saying for sure this will happen. You have to see the response. You have to look at what the unfolding reality really is. We're creating an initial hypothesis as to what we're going to see how it responds. Interesting. Oh, sorry. I thought the question you were going to ask me, though, was if we get a situation where we have a financial accident, What part of the curve do you want to be in then? And to me that is also an interesting and much more difficult question to answer Because if you said on a dollar basis like just no leverage Then you should you know if we get a financial accident and you should own tens or 30s because you get more duration and therefore you'll do better But if you were looking at it from a yield perspective, I think that in a true financial accident and we're going to be shocked at how quickly the Fed lowers rates. And I do believe it will be the Fed leading. And I know this is going to sound absurd, but in a real, you know, risk off like financial accident, I think rates in the US are going to 1% at the front end. And then as they go to 1% at the front end, I don't think the long end is going to like that. And so we could get into a situation where the Fed, you know, rushes to lower rates and the long end revolts. And so therefore, although you might think that you should own 30s in a financial accident, maybe, you know, buying, you know, so for front end levered futures is a better way to trade it than that. If you if you believe a financial accident and you have to believe in financial accident, if you don't think there's a financial accident coming, then that's a stupid trade. Do not rates are not going to one.

The only way rates are going to 1 is a financial accident. So if you don't think there's a financial accident coming, don't do that trait. The thing is that I feel like a financial accident could happen, but usually there are a chain reaction, like a domino effect, where one small thing that was a surprise breaks another thing, breaks another thing, and breaks another thing, and it starts to compound and then something in the financial system is like, we weren't prepared for this and something breaks. But there's so many things that I could give as examples of that. Private credit, all of these SPVs, the predominance of triple, double and triple lever ETFs. The fact that the

correlation trade has gone there. This tax aware long short, I think is a disaster waiting to happen in terms of leverage. There's so many potentials out there, Patrick.

And just the concentration, that alone is scary, right? Like you go back and look at the history, how many times have we been this concentrated in the markets? It's like 1929, 1962 or something and 2000, right? These are not good times to be invested. So I'm much probably more worried about a financial accident the most. And I always joke and say, you know, why are you worried about it? It's because nobody else is. And I tell this story of in 2023, Cuppie and I had this event and we had listeners come and they had to sing for their supper. They had to present an idea and everybody was like uniformly bearish. And it was like, it was the end of the world, doom and 11 everywhere, you know, every single one. And Cuppie and I presented, we presented bullish ideas.

And the number of people who came to me and said, you know, you guys are really nice guys. I really like enjoying it. But you guys just don't understand how bad things are out there. And that's what they told me. And people would ask me, are you worried about a crash? And I go, no, I'm not worried about a crash. And they go, why not? Because you're asking about it. And one of the things about crashes is that you have to have nobody worried about crashes for crashes to occur. Because if everyone's worried about a crash, they've already taken steps to make it so that they're protected against it. So anyway, so here's my question. Here's my question to you. So this is one year volatility basically at multi year lows, six month volatility near multi year lows, three month volatility near it's, you know, multi year lows, the one month volatility, the main VIX sitting right along its previous lows. The bottom line is right now there is no a marginal buyer demand on options to force volatility to be repriced higher. There just is right now a thing, but the point is volatility right now, fine, the skew has picked up, which basically a high skew at 160 means the tail is a little more expensive. So that tail insurance is being priced up on the market, but still, is cheap. And the part that just when I hear you saying that, I mean, at this moment, it doesn't cost a lot to be insured on your portfolio, right? Like it, can I highlight something about that ball is cheap and you're talking about all those implied falls be really, you know, in the in the dumps. One of the

reasons that ball is cheap is because correlation is so low. And I know this sounds technical, and you're going to say like, how does that matter?

And our buddy, Vincent de Loire, the Stonics had this great idea that inspired me. Like he talked about the shadow VIX. And what he said was, imagine if the correlation was normal, right? Like if stocks moved together in a regular fashion, okay? If you take the implied volatilities of the individual stocks and then went and looked at what the implied volatility would be for the index, on a regular correlation, all of a sudden the VIX goes from 15 to 35, right? And that is the part, you know, I hammer home and I talk about this correlation all the time and people seem to think like, oh, you're just, you know, you're, you're, you're too obsessed with it. And I say, but it's so important to how things get priced. And if correlation returns, and by the way, Correlation, you know, when you talk about amongst indexes, it can only go to zero. And we're basically at zero, right? We're at the point where it's tough to get any less correlated. So the surprise is going to be the other way. And to me, I look at this and say this VIX and these, the stock market index vol is just is getting.

tossed away for too cheap given like how much these markets are moving, right? Like the individual stocks, like if you go look at the individual stocks, the implied are actually quite high. And the reason that they're high is because things are moving, right? Actually, the case like go look, you showed me Microsoft, one of the largest stocks in the index. It went from it went down 36% and then it went back up. These are big moves. This is occurring. I'll push back on you. Look at this. This is the semiconductor volatility index. We were at 64 back during the bubble blowoff, and we had a collapse of volatility. I have. We're not. In fact, if you go on an individual basis, even though you're correct that volatility is actually higher on individual names, it actually has been declining. No, no, it has. No doubt about it. If you could pull up, I think it's VIX EQ. I think it's the symbol for the VIX of individual stocks. Is that come up? Yeah.

You'll see that no doubt it has come in there I'm not disputing that but if you go back over a long a local much longer time period You'll see and don't forget. I think that VIX EQ is based upon one month volatility Yeah, so it's very much driven by the earnings cycle right and so but Regardless Patrick

the correlation is weighing on on index fall to an extraordinary degree. It's underappreciated by markets. And I have the saying, buy your straw hats in the winter. Buy your volatility when you can, not when you have to. Absolutely. Absolutely. So if you don't mind, I want to continue. By the way, let's just finish off on bonds in one quick little the run through on some of these. First of all, here is the junk bonds, which are dropping. A lot of this drop was not credit spreads blowing out, but they have risen. Yes. And so the question is, is that is there another leg coming this time from credit spreads rather than they're just yes, yes, yes, yes. Okay.

I am bearish credit speds in there. It's only going to get worse. Okay. And what else was super interesting is that this is the BIZD, which is the BDC income ETF, which is those private equity credit basket. And you can see it's now breaking to a lower low. Everyone was talking about private equity back in the start of the first quarter being the epicenter and quietly no one's talking about it anymore. Just private equity have another round to play in terms of sure that's where the bodies are going to be. And it's a huge asset class. It's underappreciated again in terms of the disasters waiting to happen there. My buddy Paula macro has been all over this and I'm with him. He's like one of the few guys is still talking about it.

But the reality is that those things are a disaster. I suspect they get worse into your end, too. Like, who's, you know, why are you going to own these things? All right. So I'm going to pivot to oil because can I say one thing about about rates though, before we're talking about like, if in terms of the squiggles, almost all G seven countries are priced in somewhere three to four hikes over the over the coming Yeah, you know year or whatever like till till like that's the the curve of peak rates or whatever For the first time in a long time Patrick the front end is actually Giving you an opportunity to be long at and earn carry This is this has been like in the past We used to have a situation where everyone was anticipating rate cuts rate cuts rate cuts And it would trade inverted and there would be all these things now all of a sudden we have this situation where if you are, if I forced you to say, is there gonna be two or six? And this is the guys at Goldman, we're talking about this. So I'm gonna steal this from them. If I said to you, there's four priced in, what do you think the chances of six are? What do you think the chances of two are? And to me, I'm in the camp that the two is a lot more

probable than the six. And don't forget four is priced in. Now, there's a very important thing I wanna actually ask here.

the question is what actually happens that they'll only move twice or what the market will price in because for instance, I believe that crude oil is about to rip. And if it does, there could be another hit. Right. You were thinking that that's a great point. And that is that that is really important. And I'm glad you brought that up because it could be that you're right that six get priced in and then they ultimately do too. That see this is the thing because I would choose to in terms of what they actually do Yeah, we could have six or even seven great point. That's priced in if oils rip in a hundred twenty hundred great point Patrick great point, right? Yeah, and that's why it's so easy. Yeah And so, uh, so listen, but let's talk oil here because I think that this is one of the most fascinating things. And, you know, we're dragging on. So I don't, I don't want to go on too long, but this is actually an important conversation because I really think what's happening in oil is so interesting because oil had this correction, it's going higher. Someone who just looks at a continuous chart or is tracking oil prices for the purposes of reporting it as election influence and everything like this, it looks like oil has been flat for a month.

Right when you just look at this chart. Well, look, you know, we were trading at this 97 level back on September 9th and we were at 94 back in July, right? Like this is looks like an oil market. That's not moving and this is incredibly deceptive because almost all of this selling has only been at the front month. Now, we have been in, obviously, oil markets naturally a trade in backwardation, not always, but it is very common for there to be very clean backwardation in the curve. And we have literally seen huge flattening of this backwardation. And it's actually disguising what is actually happening. Now, first of all, I want to go to the caught reports, and I am baffled by when you go to this WTI, we're at the 31 percentile. But we continue to see on the red line, which is the gross shorts, you have to go back a decade to see this amount of gross short positioning in crude oil. In spite of crude oil going higher, some big players continue to hold very aggressive short positioning. I'm not going to get it down the rabbit hole of who this is. But I want, no, no, but I want to stress, but this is all influencing the short term price of oil on the front month. So this is here.

But look, this is the December oil contract. What is it doing? Breaking to 52, no, all time new highs.

broke out thing. Look at this chart of the April, 2027 contract. It's in a screaming frickin bull market. Yeah, it looks great. Right? Yeah. The point here is, is that what for 95% if not 99% of people are just staring at that continuous chart and that base level and saying, well, nothing's happening in oil, oils being stable going to election. But when you look deeper under the hood, The situation in the Middle East is materially escalating. And when you just leave that front month contract that has been pulled down by short sellers who are fading this thing, you have a screening bull market in oil everywhere else. Great point, Patrick. I hadn't looked at those charts. I was part of the 95. So now I'm not because I listened to the market huddle.

There you go. That's shameless. But no, but like to me, like this is like look at the like we are in the last in on this, let's say April contract, we have seen a 21 oil rally in the last 70 days. Basically a 31% rip higher. The entire backwardation is flattening. The oil One year, two year out is screaming higher as they're basically saying that the right price of oil is higher. Patrick, you sound like Bill Murray and Ghostbusters. Dogs and cats living together, pandemonium. No, but I find this thing like, why is everyone just staring at that front month? But look, Brent. oil about to break to to back to its highs the oil itself like even look at this is the Dutch Nat gas contract of the European gas just breaking to new highs oil and refined products everything is actually ripping and somehow the front month oil contract that WTI is being aggressively shorted and is not actually representing what is actually happening in the vast majority of the energy markets. And yet, this is the benchmark that everyone is staring at. Oil markets are in the screaming bull market right now. The Middle East is fucking a shit show. And it's only likely to get worse. And everyone is actually starting ignoring this trade, I think. I think that there is an extraordinary opportunity to be bullish here. Drop the mic, baby.

I have nothing to add. Do we leave it on that? No. We leave it on that. We end strong, baby. Only I want to just touch on a couple of quick things. You're like, Michael, listen, Michael Jordan, you switch the basket and I need you. You went out of the highs, you had the trophy and now you're

coming back in your plane for the wizards. Our listeners are going to be upset if we don't touch on gold. The bottom line, I just want to ask you, under these kind of conditions that we just described, what does the macro condition in your mind have to pivot in order for gold to finally get a tailwind and get moving? Gold will go down with financial assets until we get to a point where they realize that the Fed is going to pivot really hard.

And having said that, I'm using a traditional lens to view gold. But on the whole, I still think China is the one accumulating it and they might surprise you and not let it go down and actually rally it in weird, inopportune times. I think that too many people still look at that relationship of the US dollar. and of the real interest rates. And often what you'll see is they'll push it down because they think rates are going higher or whatever and they'll be selling their longs. And then the next day China comes and just soft set up and we rally for no reason. So although everyone's nervous about it, I'm not as nervous about it, especially over the long run. Okay. So listen, I'm just gonna lightning round through a few more things. Copper, it was a month ago at a decade high in terms of its long positioning from large specs.

everyone was loaded in. We're now down to the 58 percentile. Large spec is starting to unwind a little bit off of that extreme level. The thing is, is that copper and industrial metals tend to do the best from in the macro regime of rising growth and rising inflation. And copper was a very, very popular trade. The whole AI story is, you know, these data centers need the copper wiring and all this stuff. But yet copper has basically for six months been completely unable to make any progress in spite of all of this bullishness that's been in there and the question here is if we are witnessing a slow growth pivot here do industrial metals finally peak out and are we witnessing a topping formation just asking I'm not forecasting, but it does look ridiculously heavy. And there was some extreme bullish positioning. Is copper going to trip up here is my question. If you don't have a comment, I'll keep going. Let's keep going, baby. The other thing like uranium, now uranium was super bullish during the AI story. But what is fascinating to me is that as AI turned the nuclear story was obviously very much tied to it and we are in an outright nuclear route even though the nuclear buildout story is very very real but the stock investors are just getting completely pounded uh on on owning this it's turning into a bloodbath out there uh even

yesterday's attempt to rally is already being faded like uh the question here is in is like when are these stocks going to be fully washed out because it's it's their zero sign of anything bullish here and i i find that so crazy because fundamentally there's such a great bull story to be told and the price is just destroying everyone who bought the story. It's to show you technicals matter more than you think. Well, you know, to say technicals flows matter. Yeah, and I'm just joking. But I'm just going to map it out for a while. So although the fundamental story is great, you have to say maybe it's all in the price. Yeah, at some point that it's been priced in. And that is that is the thing. The last one thing I just want to mention is on the eggs.

And, you know, there was obviously a bull case to be made about all of these grains ripping. But the last month and a half has been a pretty nasty pullback. I was just going to ask you, like, do you still think that the egg story can march to the beat of its own drum? Oh, 100%. By the way, you know, when I was out traveling, I had the good fortune to meet some guys in Athens. Terrific guys actually really enjoy chatting with them and one of them is a big egg bull and He really got me thinking and I and subsequently have talked to some guys Patrick one of these days. We're gonna get a surprise here that is gonna shock everyone it's gonna be a source of alpha, we should all be getting better with the eggs and learning this market and focusing on it more. There is going to be a rip roaring bull market in eggs. One of these days and it's going to be fortunes are going to be made. Right. Like we're going to, we're going to be, we're all going to be ag traders soon. And you know, I don't know if it's this one with this El Nino or whatever or the problems with Ukraine. There's like lots of different moving parts that I don't understand as well as I should.

But when I just look at this and think about how in real terms, wheat has been, you know, going down and down and down because inflation has occurred, right? Like if you, if you take that wheat and you discount it, you know, deflated by inflation, we're at all time crazy low levels. And the world is becoming more unstable. And not only that, the climate issue has become larger. And we have this fertilizer problem. And we have, you know, like Listen, there can be an accident here. And when we're looking at those charts, we could be shocked at how far these things move. Absolutely. This is the weekly chart on wheat. And you can see like the prior bull

market in 2020, that was obviously the Ukraine war kind of buildup scenario. But that just goes to show you what happens during wheat bull markets. And you can see here, we're obviously on this weekly chart.

having a pullback, but this is far from what weed is capable of doing when things get really spicy. And, uh, it'll be interesting to see what, where and how the dip gets bought here and where the bulls ultimately defend this thing. It'll be, uh, it'll be certainly interesting. But guess what, Kev? I don't, I don't think we should go any longer. I think that's good. All right, everyone. Thank you for tuning in. Uh, we'll see you next week. Patrick, where can they find more about you and your terrific analysis? Listen, uh, number one, check out my YouTube channel, Patrick underscore Suresna. I do these daily chart things. So if you're enjoying these charts, I literally give an update in live stream every single morning of the week. Number two, we were talking those caught charts. So check out cart, the caught signal.com completely free. And if you want to directly see my stuff in action, come to big picture trading.com.

They go to MacroTourist.com or you can email me if you want a specific piece. Kevin at the MacroTourist.com and I'm happy to send off some stuff for people who are interested. Listen, Bear Market, Bull Market, we're just happy to spend some time on this terrific ride that is the Market Huddle. Thank you for tuning in, everyone. See you next week. All right. And here comes Danny. Danny, looking very, very like beachy. Guys, that was super confusing. What was confusing? Well, you didn't even say, and now it's the after show. Oh, I screwed up. That was my fault. Oh, and now it's the after show. Because I didn't have it up there and I didn't do it. I couldn't read it. How many years have you been doing this? Oh, not that long. No, but, uh, yeah, listen, you know, first of all, I just got to say this, like we were not together.

the three of us having a chat on our 300th episode. I know it's my bad. That was me. You know, Kev, first of all, it's been a great pleasure. Yeah, you're awesome. A co host of the huddle and having bag 300 of these episodes. It was such a journey. The shows evolved so many different ways over that time. But, you know, we're, we still have a great time doing it. And just wanted to say let's make a 300 more. You know, I really appreciate that. It's

very kind of you to say and and I feel like right back at you, you know, people always say to me, you know, How did you meet Patrick and, you know, how long have you known him? And they're always shocked to find out that we basically met a year before we started this. And yet I feel like I've known you my whole life and you're just one of those partners that you instantly have a rapport with. And I really appreciate it. And to your credit, Patrick.

I would have, I did it as a lark. You asked me to do it. I did it as kind of a fun little lark and I would have never thought it would have been so wonderful. So I owe you a huge debt of gratitude for you, uh, suggesting we do this. Awesome. And, you know, we, uh, and Danny came on and has been great. It's, uh, it's, uh, sorry that I, uh, don't have tips like the previous, uh, I'm so sorry. It's a sexy voice. Everyone was like, sexy voice. That lady, she got the sexy voice. No, but so yeah. Listen, I just came back from Argentina. I know you were all over Europe. By the way, did you end up doing Oktoberfest?

No, I didn't I got lazy you know I was in Greece and great picture. Yeah, I copy invited me I was I was I had to fly through Munich and I was just it ended up being just so tiring and I'd done so much things but by the way I just like to thank everyone who met me throughout like all the things like The guys from incrementum were, you know, terrific and took me out for dinner. I had a bunch of different meetups like in Switzerland and I mentioned the guys in Athens and did I have any more? But anyways, I just want to thank everyone because it was a real pleasure meeting everyone. And thank you for taking time to show me your country and take the time out. Yeah, it was awesome. That's awesome. Yeah, I was I was down in Argentina.

And, uh, with, uh, my inner circle and we basically went out to the Gatsu Falls, uh, that, that, that huge famous waterfalls that's, uh, on the Brazilian, Argentinian and Paraguayan border there. Okay. Uh, man, is that stunning. Really? This is coming from a guy who's near Niagara Falls, so it must be stunning. Absolutely. No, no. It's, uh, like Niagara Falls has this volume thing, but it, from just the beautiful jungle, uh, the atmosphere and the way that it's amazing. We went on the boat and it's not nothing like the fairy of

the mist shit on the Niagara Falls. It's like they literally bring you like right near the water where the water is literally almost like pouring into the boat. It was a wicked experience. So Patrick, you know, answered the age old question if length better than volume, but obviously, you know, we know now.

We're not, we're not, I couldn't resist. Okay. Anyways, thank you very much for tuning in everyone. Have a great week and stay safe out there. Cheers everyone.